

2026 Health Insurance Renewal Summary

Annual Employee Premium	Current Enrollment	2022	2023	2024	2025	2026	Increase \$
Single	41	\$0.00	\$1,164.00	\$1,428.00	\$1,293.84	\$1,672.68	\$378.84
Family	67	\$0.00	\$3,600.00	\$3,900.00	\$4,060.68	\$5,222.16	\$1,161.48
Annual ER premiums*based on enrollment as of 10/1					\$1,842,287.70	\$2,371,778.28	\$529,490.58

2022 – no charge for HSA. Eliminated PPO option

2023 – 2024 premium caps in place

2024 – calculated premium for Single did not meet cap. Family did.

2025 – no cap on premiums. Employee share decreased due to lower than anticipated claims (see cap comment above)

2026 – no caps on premiums. Calculated employee share increasing due to higher than anticipated claims

*ER health insurance increase – 79% general fund/income tax supported, 11% Water, 10% Sewer

Premium 2026	Single	Family
Fixed cost per month	\$200.60	\$363.21
Estimated claims	\$729.81	\$2,538.00
Total per employee	\$930.41	\$2,901.21
Employee share	\$139.56	\$435.18
Employer share	\$790.85	\$2,466.03

*Premium is based on two parts: the fixed costs charged to the City each month based on enrollment and the estimated amount of claims for the year. Fixed cost consist of VSP, Prescription, Dental, Teladoc, Admin Fee, etc. Estimated claims are allocated based on the number of members participating in Single or Family. Family includes employee, spouse, children.

Monthly H SA Contribution		2022	2023	2024	2025	2026
Single	41	\$1,200.00	\$1,500.00	\$1,500.00	\$1,620.00	\$1,620.00
Family	67	\$2,400.00	\$3,000.00	\$3,000.00	\$3,240.00	\$3,240.00
Annual cost*based on enrollment as of 10/1/25					\$283,500.00	
Max HSA contribution rates (under age 55)						
2025: \$4,300 and \$8,550						
2026: \$4,400 and \$8,750						

Monthly Health Insurance Waiver	Current Employees	2022	2023	2024	2025	2026
Single	31	\$1,800.00	\$2,250.00	\$2,250.00	\$2,250.00	\$2,250.00
Family	25	\$3,600.00	\$5,400.00	\$5,400.00	\$5,400.00	\$5,400.00
Annual cost*based on enrollment as of 10/1/25					\$204,750.00	

Employees receive waiver stipends for the following reasons:

Partial waiver, i.e. If spouse and/or children are on another plan

Full waiver, i.e. Have spouse and/or children and completely waive coverage

*All stipends are supported by general fund/income tax as of 10/1 (no water or sewer employees)

Proposed new hires health care cost

Proposed 13 new hires will increase health insurance cost between \$140K-\$323K. This calculation is based on key plan indicators provided by Savage with the average members per contract and average cost per contract, plus fixed cost, HSA. Some may waive and receive a stipend.

Health Insurance Fund Balance

The goal of this fund is to retain a balance of 100% of the following years' estimated claims. Estimated ending fund balance at 12/31/25 is expected to be \$1.6M. Estimated claims for 2026 is projected to be \$2.4M, meaning the Fund Balance beginning 2026 will be less than estimated claims. No action is recommended at this point.

Employee Survey Results –52 employees responded

In terms of employee share of the health insurance premium and the employer HSA contribution, please choose in order of your preference, with 1 being the most preferred. For your reference, 2026 Rates are calculated as follows: Single \$139.39 per month Family \$435.18 per month

Ranking

Use the premium as calculated and the employer HSA contribution the same

1 (28)

Reduce the employer HSA contribution by the increase in premiums

2 (10)

Apply the entire amount earmarked for the employer HSA contribution and apply it to premiums

3 (12)

Reduce the HSA contribution to \$500 for Single and \$1,000 for Family, with the difference applied to monthly premiums. This will also help new employees to establish an HSA

4 (10)

Reduce the HSA contribution to \$1000 for Single and \$2000 for Family with the difference applied to monthly premiums. This will also help new employees to establish an HSA

5 (23)

*Feedback is that employees are concerned if something is taken away, it will not be returned

Self-insured plan, who pays?

[_____] [_____] [_____]		
EMPLOYEE	CITY	STOP-LOSS CARRIER
\$3,400 Single deductible	All Claims up to \$125,000.	Claims above \$125,000
\$6,800 Family deductible		